

Question 1

Study the following information and answer the questions that follow

Price of Commodity x in August, \$20.00.

Price of Commodity x in September, \$29.00

Quantity of Commodity x purchased in August, 80.00 kg.

Quantity of Commodity x purchased in September, 64.00 kg.

Determine:

percentage change in price of x;

percentage change in quantity purchased;

co-efficient of price elasticity of demand.

From your answer in (a)(iii),

comment on the price elasticity of demand for Commodity x;

give a reason for your answer in (b) (i).

Sketch a graph showing the type of elasticity identified in (b) (i).

Question 2

Given that quantity demanded and supplied of a given commodity are represented by the following demand and supply functions

$$Q_d = 20 - 3p$$

$$Q_s = 10 + 2p$$

(a) Construct the demand and supply schedule for price ranging from \$1 to \$5.

(b) Draw the demand and supply curve

(c) Determine the equilibrium

Quantity demanded and supplied;

Price

(d) At the price of \$5, determine the excess supply.

Question 3

- (a) Determine the price when the quantity demanded
 - (i) 2 units;
 - (ii) 3 units;
 - (iii) 4 units;
 - (iv) 5 units;
 - (v) 6 units;
 - (vii) 8 units;
- (b) Represent the function with a curve using the data obtained in (a)
- (c) State the law of demand

Question 4

- a) What is Labour?
- (b) Outline any four factors that can influence the efficiency of labour in the agricultural sector of your country

Question 5

- (a) Explain the concept localization of industry.
- (b) Highlight any four problems of localization of industry in any economy

Question 6

- (a) What is limited partnership?
- (b) In what four ways can partnership raise capital for expansion?

Question 7

- (a) Define a monopolistic competition.
- (b) Explain any four characteristics of an imperfect market.

Question 8

- (a) What are internal economies of scale?
- (b) How can a large firm maximize the benefits arising from its scale of production?

Question 9

- (a) Distinguish between a change in demand and a change in quantity demanded.
- (b) Give three reasons for changes in demand.

Question 10

- (a) In what two ways does agriculture contribute to the development of your country's economy?
- (b) Recommend any three measures that can be taken to boost large scale farming in West Africa.

Question 11

- (a) What is public debt?
- (b) Explain any four reasons why countries in West Africa continue to incur debts.

Question 12

- (a) What is export promotion?
- (b) Describe any four measures the government of your country can adopt to encourage production for export.

Question 13

- (a) Define fiscal policy.
- (b) Outline any two fiscal policy measures that can be taken to solve each of the following economic problems.
 - (i) inflation
 - (ii) unemployment
 - (iii) balance of payment deficit

Question 14

- (a) Why is scarcity a fundamental problem in Economics?
- (b) Give a reason why Economics is a
 - (i) Science;
 - (ii) Social Science.

Question 15

- (a) Outline the chain of distribution for manufactured consumer goods.
- (b) Explain the functions of the
 - (i) wholesaler;
 - (ii) retailer.

Question 16

- (a) Define labour.
- (b) Give four factors that affect the efficiency of labour in your country.

Question 17

- (a) With examples, distinguish between direct and indirect tax.
- (b) Explain any four problems of tax collection in any West African Country.

Question 18

- (a) Distinguish between the following pairs of cost concepts.
 - (i) Fixed cost and variable cost.
 - (ii) Real cost and money cost
 - (iii) Implicit cost and explicit cost.
- (b) (i) What would you recommend to a firm whose average cost is greater than its price?
 - (ii) Give a reason for your answer in 7(b)(i) above.

Question 19

- (a) What is a capital market?
- (b) Describe any three instruments used in the capital market.

Question 20

- (a) What is (i) devaluation;
(ii) depreciation of currency?
- (b) Outline three measures that can be adopted to correct balance of payments deficit.

Question 21

- (a) With the aid of a diagram, explain the effects of fixing price
 - (i) above the equilibrium price
 - (ii) below the equilibrium price.
- (b) (i) What is an abnormal demand?
(ii) Give two reasons for its occurrence.

Question 22

Explain any five objectives of the Economic community of West African States (ECOWAS)

Question 23

Give five reasons for the continued existence of the organization of Petroleum Exporting Countries (OPEC).

Question 24

With an appropriate illustration, explain the circumstance in which an increase in output of a producer would

- (a) decrease his sales revenue;
- (b) increase his sales revenue.

Question 25

- (a) Define increase in supply.
- (b) With the aid of diagrams. explain the effect of an increase in the supply of fish on the price of beef.

Question 26

- (a) What is the equilibrium of a consumer?
- (b) Explain how a consumer attains equilibrium in spending his income.

Question 27

- (a) Explain. with examples, the following types of production:
 - (i) Primary;
 - (ii) Secondary;
 - (iii) Tertiary.
- (b) Give two reasons why primary production pre-dominates in developing countries.

Question 28

- (a) What is a partnership?
- (b) State any two advantages and any two disadvantages of a partnership

Question 29

- (a) What is privatization?
- (b) Give four reasons for government participation in economic activities in your country

Question 30

- (a) Distinguish between location of industries and localization of industries.
- (b) Describe any three advantages and any two disadvantages of locating industries in rural areas.

Question 31

- (a) Explain the function of money as a
 - (i) measure of value;
 - (ii) store of value.
- (b) Show how inflation affects these two functions of money.

Question 32

- (a) What is a commercial bank?
- (b) Describe any four ways by which the Central Bank controls the amount of credit given by the commercial banks.

Question 33

- (a) What is incidence of taxes?
- (b) Explain any four principles of taxation.

Question 34

- (a) Distinguish between underemployment and disguised unemployment.
- (b) Outline any four measures that can be adopted by the government of your country to solve the problem of unemployment.

Question 35

- (a) What is meant by the value of money?
- (b) State any four qualities of money.
- (c) Explain the motives for holding money.

Question 36

- (a) Define supply.
- (b) With the aid of a diagram, explain what is meant by a change in supply.
- (c) Explain any three factors that cause changes in supply.

Question 37

- (a) What is a customs union?
- (b) Explain any four ways in which a customs union can speed up the economic growth of its members.

Question 38

- (a) What is subsistence farming?
- (b) State any two objectives of agricultural policies in West Africa.
- (c) Outline any four ways through which agricultural production can be improved in West Africa.

Question 39

- (a) Briefly explain the following concepts:
 - 1. Economic development;
 - 2. Economic development planning.
- (b) Highlight any five reasons why the West African countries engage in development planning.

Question 40

- (a) What is a minimum wage?
- (b) Distinguish between money wage and real wage.
- (c) Outline any four reasons for the difference in wages paid to different categories of workers

Question 41

- (a) Highlight any four features of cooperative societies.
- (b) Identify any four sources of finance available to business enterprises in your country.

Question 42

- (a) Distinguish between a merchant bank and a commercial bank.
- (b) Outline any four functions of a merchant bank.

Question 43

The following are the loans granted by a Commercial bank to different categories of individuals. Use the information to answer the questions that follow:

Bakers \$8,000; Farmers \$8,000; Miners \$7,000; Retailers \$5,000;

Tailors \$4,000; Teachers \$6,000; Drivers \$4,000; Fishermen \$3,000.

(a) Arrange the information in the form of a table grouping the individuals into:

1. Primary sector;
2. Secondary Sector;
3. Tertiary Sector.

(b) Express the loan to each sector as a ratio of the total loan granted.

(c) Present the total loans granted to the sector in a simple bar chart. (use of graph sheet is essential).

Question 44

(a) What is a centrally planned economy ?

(b) Outline any four features of a capitalist economy ?

Question 45

(a) Define mobility of labour.

(b) Describe any four factors influencing the supply of labour.

Question 46

1. What is international trade?

2. Explain any four advantages of international trade.

Question 47

Outline any five reasons why small scale firms are common in West Africa.

Question 48

- (a) Explain with examples, the terms competitive demand and complementary demand.
- (b) With the aid of diagrams, analyse the effect of a decrease in the import duty on cars on the price and consumption of petrol.

Question 49

- (a) What is demographic transition theory ?
- (b) Explain the three stages of the theory.

Question 50

- (a) Differentiate between shares and debentures.
- (b) Identify any four problems encountered by farmers in raising capital.